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March 17, 2017

VIA FIRST CLASS MAIL

Ms. Rachel Dickon
Assistant Secretary of Federal Maritime Commission
800 North Capitol St.
Room 1046
Washington, D.C. 20573

Re: Docket No. 15-11 – Ovchinnikov v. Hitrinov

Dear Ms. Dickon:

Enclosed for filing in the above-captioned matter are an original true copy and five (5) additional copies of:

1. Respondents' Opposition to Complainants' Motion for an Enlargement of Time to File Exceptions and For Other Relief

If you have any questions, please do not hesitate to contact me.

Best regards,

Eric Jeffrey

Enclosures

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

DOCKET NO. 15-11

IGOR OVCHINNIKOV, ET AL

v.

MICHAEL HITRINOV ET AL

Consolidated With

DOCKET NO. 1953(I)

KAIRAT NURGAZINOV, ET AL

v.

MICHAEL HITRINOV ET AL

**RESPONDENTS' OPPOSITION TO COMPLAINANTS' MOTION FOR AN
ENLARGEMENT OF TIME TO FILE EXCEPTIONS AND FOR OTHER RELIEF**

On March 10 – just one day after the Initial Decision Granting Respondents' Motion for Judgment on the Pleadings was issued – counsel for the Complainants (Mr. Nussbaum) filed a motion¹ indicating that he intends to file a Petition to Reopen the Proceedings and Remand the Matter to the Presiding Officer to take additional evidence.

Complainants' Counsel now seeks a ninety (90) day enlargement of time to file such a Petition, and further seeks an open-ended extension of time to file Exceptions to the Presiding Officer's Initial Decision – basically allowing him to start afresh after the proposed Petition is

¹ Complainants' Counsel did not confer with Respondents' Counsel before filing the motion and the motion does not recite any such conferral, as required by FMC Rule 71(a). This by itself is grounds for rejection.

decided – assuming it is actually filed. Furthermore, Counsel admits he will inevitably seek further extensions beyond the 90 days he now requests, and thus he also moves for a stay of the instant proceedings pending the outcome of two unrelated matters being litigated in Federal court in New Jersey.

Respondents have no objection to the Commission granting Complainants a reasonable extension until April 17, 2017 to file Exceptions, in order to accommodate Counsel's travel plans.² This would permit Complainants' Counsel the customary 22 days after his March 25 return (as stated in his more recent, but denied, request for an extension), on top of the six days he apparently had before departing.³ Respondents submit, however, that granting Complainants the inflated extension of time their Counsel requests is wholly unwarranted for multiple reasons: (i) nothing prevents Complainants from filing both Exceptions and the referenced Petition, which would save time once the Petition is inevitably denied; and (ii) a Petition to Reopen the Proceedings would be pointless, since it would be facially inadequate to meet the Commission's standards for reopening, because the issue was not raised before the Presiding Officer, and because such a Petition is otherwise without any merit.

The alternative request for a stay is ludicrous on its own terms, and is in any event precluded by the doctrine of judicial estoppel, as Complainants successfully opposed just such a stay when proposed by Respondents. Furthermore Counsel's real motive appears to be, as the

² We admit some puzzlement as to Counsel's current whereabouts, as his recently filed, March 16 response states that it was signed in Brooklyn, New York, while the Certificate of Service purports to be signed in Hawaii. We assume that one of these was merely a typographical error.

³ Had Complainants' Counsel contacted Respondents' Counsel as required, he would have received consent to such an extension and thus, the instant motion could hopefully have been avoided.

Commission recently recognized in another proceeding, to delay the entry of a final decision in this case.⁴

1. **Complainants Offer No Reason Why They Cannot File Timely Exceptions**

Counsel for Complainants is, just as the Commission noted in *Crocus Investments*, fully familiar with the facts and law relating to this proceeding. There is no reason why, with the proposed extension, Counsel cannot both file timely Exceptions and, contemporaneously or thereafter, submit the referenced Petition. This would allow the matter to proceed in an orderly manner immediately after the Petition, if filed, is denied, thus avoiding the problem that concerned the Commission in *Crocus Investments*. This would also best comport with the requirement of FMC Rule 1, 46 CFR 502.1, that the Rules be applied so as to foster the “just, speedy, and inexpensive” resolution of each proceeding.

2. **The Proposed Petition Is Necessarily Pointless**

Complainants’ proposed petition for re-opening would be governed by Commission Rule 230, 46 CFR, 502.230, as Complainants themselves identify in their opening paragraph. Rule 230 does not allow re-opening willy-nilly, but rather, as described in *Crocus Investments*, sets forth specific standards that must be met. In particular, a petition for re-opening must include a showing of “material changes of fact or law” that occurred after the Initial Decision.⁵

Complainants do not assert that there has been a relevant change in law or that they identified new evidence in the single day that elapsed between service of the Initial Decision and the filing of Complainants’ motion. Instead, Counsel’s sole argument for reopening the

⁴ See *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04 (Memorandum Opinion and Order, served March 6, 2017).

⁵ Rule 230(a), as incorporated by Rule 230(d). Although Rule 230(a), regarding re-opening by the Presiding Officer, references changes after the hearing, in the context of re-opening by the Commission it must logically apply to changes subsequent to the Initial Decision.

proceedings is that he has a “good faith belief” (which we would call speculation) that the cited civil and criminal matters will someday, somehow, result in the production of evidence that may possibly be relevant. That simply does not meet the requirements of Rule 230, which was designed to allow for consideration of actual, newly-discovered and important, evidence, not to indefinitely delay FMC proceedings in hopes that new evidence will turn up someday.

To the extent that the motion can be read to suggest that the Presiding Officer erred by not ordering sufficient discovery before ruling on Respondents’ Motion for Judgment on the Pleadings, that is clearly a cavil about the actions of the Presiding Officer, which thus must be raised as part of the Exceptions. It is also unavailing because: (i) judgment on the pleadings means just that, (ii) the Presiding Officer bent over backwards to require production of all shipping documents in Respondents possession or control;⁶ and (iii) the Presiding Officer afforded Complainants multiple opportunities to respond to the Motion for Judgment, but they never claimed they were unable to do so due to lack of discovery, and so should be foreclosed from raising that issue for the first time here.

Finally, Complainants concede that they have nothing more than their Counsel’s good faith belief that relevant evidence may arise from the federal proceedings. A review of those proceedings shows otherwise, but requires unfortunate detail to explain. Respondents beg the Commission’s indulgence in this regard. Support for this brief summary may be found in the June 10, 2016 Affirmation of Michael Hitrinov (and attachments thereto), filed in support of

⁶ As discussed further below, Complainants also had access to, and indeed submitted, the documents of Mr. Kapustin relating to their Complaint.

Respondents' contemporaneous Motion for Judgment on the Pleadings (Item 48 of the FMC's online docket list).⁷

The civil and criminal matters involving Kapustin referenced by Complainants are both pending in the United States District Court for the District of New Jersey and are docketed as: *Akishev et al. v. Kapustin et al.*, 13-cv-07152-NLH-AMD (the "Civil Kapustin Case") and *U.S.A. v. Kapustin*, 16-MJ-03662-MF (the "Criminal Kapustin Case").

Both of these Federal cases center upon Sergey Kapustin, a used car salesman, as well as five companies that he controlled – Global Auto, Inc., Global Cars, Inc., Global Cargo Oy, G-Auto Sales, Inc., and Effect Auto Sales, Inc. -- which collectively, including Mr. Kapustin, were found in the Civil Kapustin case to be single RICO enterprise (referred to as Global Auto Enterprise). Mr. Nussbaum represented Mr. Kapustin and the remainder of the Global auto Enterprise for at least three years, including with respect to at least two disputes covering the very same cars at issue here. In the Civil Kapustin Case – one of the cases that includes (in the cross-claim) the four cars here at issue – a judgment was entered against Mr. Kapustin and his companies, finding that he was the mastermind behind a massive RICO conspiracy which defrauded hundreds of Russian automobile buyers (including, presumably Complainants); basically Mr. Kapustin used bait and switch tactics, sold cars he never owned, extorted additional charges, and often failed to even deliver any cars to his customers. Recently Mr. Kapustin was arrested by the FBI and indicted for wire fraud and conspiracy to commit wire fraud. That matter is proceeding as the Criminal Kapustin Case.⁸

⁷ To reduce the paper burden on the Commission, Respondents will not, unless the Commission requests, re-attach materials already in the record, but rather will reference where in the docket they may be found.

⁸ Contrary to Counsel's unsupported representations, the Criminal Kapustin Case makes no reference whatsoever to Respondents, and has nothing to do with the manner in which Mr.

How Mr. Nussbaum jumped from representing Mr. Kapustin and his companies to representing the victims of Mr. Kapustin (including the Complainants in this case) is a story worth telling, because it illuminates why any Petition by Complainants to reopen the proceedings in this case would be fruitless.

As the Presiding Officer recounted in great detail in the Initial Decision, the Respondents have been embroiled in litigation with Mr. Kapustin and his companies (including over these same four cars) for several years now in Federal court – first in the Eastern District of New York, and now in the Civil Kapustin Case. It is Respondents’ belief that the mastermind behind all of this litigation is Mr. Nussbaum.

The crux of the dispute between Respondents and Mr. Kapustin is that Respondent Empire United Lines Co., Inc. (“EUL”) invested in the vehicle inventory of Mr. Kapustin’s companies and when it appeared that Mr. Kapustin was attempting to sell those investment vehicles without repaying the principal investment back, EUL per the terms of its agreement sold the investment vehicles in order to recover the principal amount still outstanding.

Even though he knew that Mr. Kapustin and his companies owed repayment of the principal to EUL and that EUL was therefore justified in selling the investment vehicles to recover these sums, Mr. Nussbaum filed a lawsuit on behalf of Mr. Kapustin’s companies against Respondents in the EDNY, alleging Shipping Act claims and arguing that EUL had failed to release the investment vehicles – *including the four cars at issue here* – to Mr. Kapustin (not Complainants) at the destination port, despite payment of the ocean freight. In support of these

Kapustin shipped automobiles; instead it focuses entirely upon Mr. Kapustin’s acknowledged fraudulent “bait and switch” business practices with respect to his customers, which include Complainants.

bogus claims, Mr. Nussbaum prepared affidavits for Mr. Kapustin and his associates to sign, which falsely claimed that the companies owed no funds to EUL.

After the New York Court saw through Mr. Nussbaum's ruse, and the truth about Mr. Kapustin's fraudulent business practices emerged, rendering Mr. Kapustin and his companies certain to be found liable under RICO, Mr. Nussbaum realized that he would never be able to recover from EUL in the EDNY lawsuit. He therefore withdrew as counsel in the EDNY lawsuit, leaving Mr. Kapustin and his companies with no counsel of record (thereby causing dismissal of the Complaint); but secretly Mr. Nussbaum continued to represent Mr. Kapustin.⁹

The new scheme that Mr. Nussbaum hatched with Mr. Kapustin was to represent victims of Mr. Kapustin's fraudulent business practices (Complainants herein), and to seek recovery from EUL before the Federal Maritime Commission. Thus, with the cooperation of Mr. Kapustin, who supplied Mr. Nussbaum with whatever documents and information he required, including the names and contact information of his victims so that Mr. Nussbaum could recruit them as clients (without telling them about his connections with Mr. Kapustin of course), Mr. Nussbaum came to represent the Complainants in this proceeding.

At some point there appears to have been a falling out between Mr. Nussbaum and Mr. Kapustin; hence Mr. Kapustin's attempt to intervene in this proceeding and to complain about Mr. Nussbaum's use of his "confidential" documents and Mr. Nussbaum's apparent conflict of interest in representing the Complainants while also representing Mr. Kapustin. But the relevant point to realize is that Mr. Nussbaum has had complete and total access to all the documents and information possessed by Mr. Kapustin and his companies for years now, as well as access to all

⁹ The previously-referenced Hitrinov Affirmation includes as Appendix 19 a pro bono retention letter that Mr. Nussbaum sent to Mr. Kapustin offering to formally continue representing him for free in the EDNY case. This was never signed and instead, Mr. Nussbaum opted to continue representing Mr. Kapustin "unofficially" behind the scenes.

of the discovery produced by Respondents in the EDNY litigation (which as noted above, included discovery regarding the very same vehicles at issue here) and in this proceeding. Thus, there is nothing that Mr. Nussbaum could hope to learn from the Civil Kapustin Case or the Criminal Kapustin Case that he has not already had access to for years.

As the Initial Decision made crystal clear, the Complainants failed to meet their burden to establish that they were consignees with respect to the ocean transportation at issue, and thus, there is no valid basis for subject matter jurisdiction over any claims asserted by the Complainants.

Specifically the Presiding Officer found that:

It would have been necessary for two events to have occurred for the contract of carriage to change this established procedure and identify Complainants as consignees on the contracts. First, shipper Kapustin would have had to tell carrier Empire that Kapustin wanted the four cars delivered to Complainants, not to CarCont. Second, assuming Kapustin did tell Empire it wanted these four cars to be delivered to Complainants as consignees, Empire would have had to accept the offer and agree to deliver the cars to Complainants. The burden of persuasion is on Complainants to show that Kapustin and Empire intended to treat the shipment of the four cars claimed by Complainants differently from the other investment vehicles shipped during the their two year relationship.

Initial Decision at p. 62. The Presiding Officer found, based largely on documents produced by Complainants themselves,¹⁰ that Complainants failed to establish either of these necessary conditions.

¹⁰ Contrary to the claim of Complainants, the Presiding Officer referred mainly to documents submitted by Complainants, not Respondents, as review of the opinion makes clear. In any event, Complainants' misstated quibble is even less than a tempest in a teapot. In response to the Presiding Officer's April 27, 2016 Order to File Shipping Documents and June 29, 2016 Order to Supplement the Record, the parties produced all documents in their possession relevant to the transportation of the vehicles at issue. The largely similar documents produced by both Parties show nothing to indicate that Complainants were ever intended by Mr. Kapustin to be consignees with respect to the transportation at issue.

Mr. Nussbaum now argues that “discovery” in the Civil Kapustin Case and Criminal Kapustin Case will somehow establish that Complainants were the consignees. But he cannot provide any details as to how “discovery” in other unrelated actions would establish this, and he cannot provide any indication as to how long the Commission must wait for him to obtain such “discovery.”

3. Complainants’ Stay Request Is Unjustified and Barred By Judicial Estoppel

On April 14, 2016, Respondents moved for a stay of the proceeding pending resolution of the Kapustin Civil Case. The principal ground for the motion was that both cases involved demands for the value of the same four cars, and that Due Process does not allow Respondents to be subjected to the double jeopardy of being required to pay that same value twice.

Complainants opposed this request, by a brief in opposition filed April 26, 2016, where they argued that the two proceedings were too different and distinct to justify a stay. On that basis, the Presiding Officer denied the requested stay.

As this brief history shows, Complainants’ current position is belied by their former assertions, and as their former claims were successful, would be barred by the doctrine of judicial estoppel.¹¹

4. Complainants’ Real Goal Is To Delay Entry Of A Final Decision

As Complainants do not, and cannot, have a valid basis for seeking to re-open the proceeding, it is apparent that all their Counsel is really trying to achieve via the instant motion is to kick the can down the road in hopes that something or another will someday, somehow, turn

¹¹ The doctrine of judicial estoppel protects the integrity of the adjudicatory process by prohibiting parties from changing positions in accordance with the exigencies of the moment, and prevents a party that has assumed one position in his pleadings from subsequently adopting an inconsistent position. See, e.g., *New Hampshire v. Maine*, 532 U.S. 749-50 (2001); *In re Coastal Plains, Inc.*, 179 F.3d 197, 205 (5th Cir. 1999).

up. This is apparently to be accomplished in the first instance by this request for an unjustified and unwarranted delay in the entry of a final decision in this case. This same pattern of delay has been demonstrated by Counsel in other cases pending before the Commission.¹²

Here, unlike in *Crocus Investments*, Mr. Nussbaum does not even assert that he has any “new evidence” to support reopening of the proceeding. Instead, he asks the Commission to effectively grant Complainants an open-ended extension, while he goes “fishing” for new evidence in unrelated Federal cases.

CONCLUSION

For the foregoing reasons, Respondents respectfully request that the Commission deny Complainants motion for an enlargement of time, except to grant Complainants a one-time,¹³ extension until April 17, 2017, to file Exceptions to the Initial Decision.

Respectfully submitted,



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¹² In *Baltic Auto Shipping, Inc. v. Hitrinov et al.*, Docket No. 14-16, for example (which also involved specious Shipping Act claims brought by Mr. Nussbaum against the Respondents), when the Presiding Officer issued his September 15, 2016 Initial Decision granting partial summary judgment to Respondents, Mr. Nussbaum sought and obtained a 40-day extension of time to file Exceptions -- citing Jewish holidays and the press of his other business matters. When the 40 days were up, Mr. Nussbaum sought a second extension, this time for 60 days, on the basis of an undisclosed “medical condition.” Similarly, in *Crocus Investments, supra*, the Commission found that Mr. Nussbaum’s Petition to reopen the proceedings was clearly meritless and nothing more than an improper attempt to delay entry of a final order.

¹³ Respondents suggest a one-time extension both because it should be all that is required and because, Complainants’ Counsel has, in this and other proceedings (including *Crocus*), displayed a marked propensity toward making long series of requests for extensions, based on a laundry list of excuses, such as long-term medical problems, computer malfunctions, breakdowns in communications with his clients, etc.

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing Respondents' Opposition to Complainants' Motion for an Enlargement of Time to File Exceptions and For Other Relief by U.S. Mail, First-Class, Postage Prepaid and E-Mail to the following:

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Date: March 17, 2017


Eric Jeffrey
Counsel for Respondents